

Agenda Item

6-H

Comparison with PCAOB Standard AS1220

PCAOB Auditing Standard (AS) 1220 ¹	Equivalent Paragraphs from Proposed ISQC 2 or Proposed ISQC 1 (Revised)	Commentary on Selected Comparisons
Applicability of Standard		AS 1220 effective for EQR of audits and the EQR of interim reviews for fiscal years beginning on or after December 15, 2009
.01 An engagement quality review and concurring approval of issuance are required for the following engagements conducted pursuant to the standards of the Public Company Accounting Oversight Board ("PCAOB"): (a) an audit engagement; (b) a review of interim financial information; and (c) an attestation engagement performed pursuant to Attestation Standard No. 1, <i>Examination Engagements Regarding Compliance Reports of Brokers and Dealers</i> , or Attestation Standard No. 2, <i>Review Engagements Regarding Exemption Reports of Brokers and Dealers</i> .	<u>Proposed ISQC 1 (Revised)</u> 43. In designing and implementing responses to address the quality risks identified by the firm, the firm shall include the following responses that relate to engagement performance: ... (e) Establishing policies or procedures addressing engagement quality reviews regarding: (i) The scope of engagements subject to an engagement quality review, including requiring an engagement quality review to be performed for: (Ref: Para. A100–A102) a. All audits of financial statements of listed entities and of other entities that are of significant public interest; b. Engagements for which an engagement quality review is required by law or regulation; and c. Other engagements or classes of engagements for which the firm	Difference in scope of engagements subject to engagement quality review due to difference in the EQ reviewer's mandates under PCAOB standards and under IAASB International Standards. Application of proposed ISQC1 would result in broader scope of engagements selected for EQC. In accordance with ISA 220, the engagement partner has overall responsibility for managing and achieving quality on the audit engagement, including determining whether the significant judgments

¹ <https://pcaobus.org/Standards/Auditing/Pages/AS1220.aspx>

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	has determined that an engagement quality review is an appropriate response to a quality risk identified by the firm because of the reasons for the assessment given to the quality risk or for other reason(s).	made and conclusions reached thereon are appropriate.
Objective	Objective	
.02 The objective of the engagement quality reviewer is to perform an evaluation of the significant judgments made by the engagement team and the related conclusions reached in forming the overall conclusion on the engagement and in preparing the engagement report, if a report is to be issued, in order to determine whether to provide concurring approval of issuance.¹ ¹ In the context of an audit, "engagement report" refers to the audit report (or reports if, in an integrated audit, the auditor issues separate reports on the financial statements and internal control over financial reporting). In the context of an engagement to review interim financial information, the term refers to the report on interim financial information. An engagement report might not be issued in connection with a review of interim financial information. See paragraph .03 of AS 4105, <i>Reviews of Interim Financial Information</i>.	<u>Proposed ISQC 2</u> 15. The objective of: (a) The firm is to appoint, for an engagement subject to an engagement quality review, an individual who meets the eligibility criteria for an engagement quality reviewer; and (b) The engagement quality reviewer is to fulfill the responsibilities for the performance and documentation of the engagement quality review.	Proposed ISQC 2 requires the review to provide an "objective evaluation" while AS 1220 requires an "evaluation," but AS1220 also requires that the EQ reviewer is independent and objective (see paragraph AS 1220.04 below).

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Qualifications of an Engagement Quality Reviewer	Eligibility Criteria for the Engagement Quality Reviewer	
.03 The engagement quality reviewer must be an associated person of a registered public accounting firm. An engagement quality reviewer from the firm that issues the engagement report (or communicates an engagement conclusion, if no report is issued) must be a partner or another individual in an equivalent position.	<u>Proposed ISQC 2</u> 20. The firm's policies or procedures addressing the eligibility of the engagement quality reviewer established in accordance with ISQC 1 (Revised) shall require the firm to evaluate whether the individual to be appointed as the engagement quality reviewer is eligible for that appointment by determining that the individual: (Ref: Para. A6) (a) Is not a member of the engagement team; (b) Is a partner or other individual with the competence, capabilities and appropriate authority to evaluate, including to question, when appropriate, the significant judgments made by the engagement team and the conclusions reached thereon; (Ref: Para. A7–A11)	Due to the difference in the mandates of the IAASB and the PCAOB, the eligibility criteria are difficult to compare.
The engagement quality reviewer may also be an individual from outside the firm.² [Continuation of paragraph .03] ² An outside reviewer who is not already associated with a registered public accounting firm would become associated with the firm issuing the report if he or she (rather than, or in addition to, his or her firm or other employer): (1) receives compensation from the firm issuing the report for performing the review or (2) performs the review as agent for the firm issuing the report. See PCAOB Rule 1001(p)(i)	<u>Proposed ISQC 1 (Revised)</u> <i>Appointment of the Engagement Quality Reviewer (Ref: Para. 43(e)(ii))</i> A105. ISQC 2² includes criteria on the eligibility of the engagement quality reviewer. When an external person is to be appointed to perform the engagement quality review, making relevant inquiries about the external person before making the appointment may assist the firm in obtaining the necessary information about whether the person meets the eligibility criteria	

² Proposed ISQC 2, paragraphs 19–21

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for the definition of an associated person of a registered public accounting firm.	to be an engagement quality reviewer. An external person may be a partner or an employee of: • A firm within the firm's network, which is subject to the requirements for networks or services in accordance with paragraphs 60–65 of ISQC 1 (Revised); • A service provider, which is subject to the requirements for service providers in paragraphs 66–67 of ISQC 1 (Revised). For example, a service provider may be: - o A firm outside of the firm's network; - o A professional accountancy body whose members may perform audits or reviews of historical financial information, or other assurance or related services engagements; or - o An organization that provides relevant quality management.	
.04 As described below, an engagement quality reviewer must have competence, independence, integrity, and objectivity.	<u>Proposed ISQC 2</u> 20. The firm's policies or procedures addressing the eligibility of the engagement quality reviewer established in accordance with ISQC 1 (Revised) shall require the firm to evaluate whether the individual to be appointed as the engagement quality reviewer is eligible for that appointment by determining that the individual: (Ref: Para. A6) (a) Is not a member of the engagement team; (b) Is a partner or other individual with the competence, capabilities and appropriate authority to evaluate, including to question, when appropriate, the significant judgments	PCAOB AS 1220 does not address capabilities or authority. AS 1220 is applicable only for audit of listed entities and thus, areas of knowledge and competence relate to accounting, auditing and financial reporting; proposed ISQC 2 also applies to other types of engagements.

Comparison with PCAOB AS 1220

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	made by the engagement team and the conclusions reached thereon; (Ref: Para. A7–A11)	Competence is further discussed in both standards (see AS 1220.05 and proposed ISQC 2, para. A7–A11).
	(c) Is not subject to threats to objectivity related to the engagement or the engagement team that are not at, or that have not been reduced to, an acceptable level and complies with the firm's policies or procedures that address the engagement quality reviewer's objectivity (including, when applicable, limitations on the eligibility of individuals to be appointed as engagement quality reviewers who previously served as the engagement partner on an engagement subject to the review); and (Ref: Para. A12–A16)	Addressed below – see AS 1220.07
	(d) Complies with: (i) Relevant ethical requirements; and (Ref: Para. A17–A19) (ii) When applicable, requirements of law and regulation that are relevant to the eligibility of the engagement quality reviewer. (Ref: Para. A20)	
Note: The firm's quality control policies and procedures should include provisions to provide the firm with reasonable assurance that the engagement quality reviewer has sufficient competence, independence, integrity, and objectivity to perform the engagement quality review in accordance with the standards of the PCAOB. [Continuation of paragraph .04]	<u>Proposed ISQC 1 (Revised)</u> 43. In designing and implementing responses to address the quality risks identified by the firm, the firm shall include the following responses that relate to engagement performance: ...	

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	(e) Establishing policies or procedures addressing engagement quality reviews regarding: ... (ii) The appointment of engagement quality reviewers to perform engagement quality reviews, including: a. The assignment of responsibility for the appointment of engagement quality reviewers to an individual with the competence, capabilities, appropriate authority within the firm and objectivity, needed to assume the responsibility; (Ref: Para. A104) b. The criteria for eligibility to perform, or participate as an assistant in, the engagement quality review that fulfill the requirements in ISQC 2,³ including limitations on the eligibility of individuals to be engagement quality reviewers who previously served as engagement partner on the engagement subject to the review; and (Ref: Para. A105–A106C) c. The replacement of the engagement quality reviewer when the reviewer's ability to	

³ Proposed ISQC 2, paragraphs 20 and 22

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	perform the engagement quality review is impaired. (Ref: Para. A106D)	
Competence	<i>Competence, Capabilities and Appropriate Authority</i> (Ref: Para. 20(b))	
.05 The engagement quality reviewer must possess the level of knowledge and competence related to accounting, auditing, and financial reporting required to serve as the engagement partner on the engagement under review.³ ³ The term "engagement partner" has the same meaning as the "practitioner-in-charge of an engagement" in PCAOB interim quality control standard QC sec. 40, The Personnel Management Element of a Firm's System of Quality Control-Competencies Required by a Practitioner-in-Charge of an Attest Engagement. QC sec. 40 describes the competencies required of a practitioner-in-charge of an attest engagement.	<u>Proposed ISQC 2</u> A7. Competence refers to the attainment and maintenance of knowledge, skills and experience relevant to the engagement, including: • An understanding of professional standards and applicable legal and regulatory requirements and of the firm's policies or procedures relevant to the engagement; • Knowledge of the entity's industry; • An understanding of, and experience relevant to, engagements of a similar nature and complexity; and • An understanding of the responsibilities of the engagement quality reviewer in performing and documenting the engagement quality review, which may be attained or enhanced by receiving relevant training from the firm. Competence may also include expertise relevant to the nature and circumstances of the engagement (e.g., expertise with respect to information technology or specialized areas of accounting or auditing). A8. Capabilities refers to having the time and resources to perform the engagement quality review, including having the time to perform the review at appropriate points in time during the engagement.	PCAOB AS 1220 does not address capabilities or authority. AS 1220 is applicable only for audit of listed entities and thus, areas of knowledge and competence relate to accounting, auditing and financial reporting; proposed ISQC 2 also applies to other types of engagements in addition to audits of financial statements.

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	A9. The competence and capabilities needed to evaluate the significant judgments made by the engagement team and the conclusions reached thereon may be affected by factors such as: • The nature of the entity (e.g., a listed entity). • The specialization and complexity of the industry or regulatory environment in which the entity operates. • The extent to which the engagement relates to specialized matters, or contains aspects that are specialized (e.g., in relation to an audit of financial statements there may be specialized areas of accounting that relate to the engagement). A10. The authority of the engagement quality reviewer to evaluate the significant judgments made by the engagement team and the conclusions reached thereon may be affected by the individual's competence and capabilities. For example, an engagement quality reviewer who lacks relevant industry experience may not possess the ability or confidence that is necessary to evaluate significant judgments made by the engagement team on a complex industry-specific matter. A11. Actions at the firm level may contribute to establishing the authority of the engagement quality reviewer, for example, creating a culture of respect for the engagement quality reviewer. However, the authority of the engagement quality reviewer may be diminished when: • The culture within the firm promotes respect for authority only when it comes from an	

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	individual that is at a higher level of hierarchy within the firm. The engagement quality reviewer is within the chain of command of, or has a reporting line to, the engagement partner, for example, when the engagement partner holds a leadership position in the firm or is responsible for determining the compensation of the engagement quality reviewer.	
Independence, Integrity, and Objectivity .06 The engagement quality reviewer must be independent of the company, perform the engagement quality review with integrity, and maintain objectivity in performing the review.	<u>Proposed ISQC 2</u> Eligibility Criteria for the Engagement Quality Reviewer 20. The firm's policies or procedures addressing the eligibility of the engagement quality reviewer established in accordance with ISQC 1 (Revised) shall require the firm to evaluate whether the individual to be appointed as the engagement quality reviewer is eligible for that appointment by determining that the individual: (Ref: Para. A6) ... (c) Is not subject to threats to objectivity related to the engagement or the engagement team that are not at, or that have not been reduced to, an acceptable level and complies with the firm's policies or procedures that address the engagement quality reviewer's objectivity (including, when applicable, limitations on the eligibility of individuals to be appointed as engagement quality reviewers who previously served as the engagement partner on an engagement subject to the review); and (Ref: Para. A12–A16) ...	Relevant requirements are in the following paragraphs and related application material: - Proposed ISQC 2, paras. 20(c), 21 and 22 - Proposed ISQC 1 (Revised), para. 43(e)(ii)(b). Each of these paragraphs is included as a reference to paragraph .06 of AS 1220 in the rows below. Also relevant is the definition of an EQ review in para. 16(a) of proposed ISQC 1: "An objective evaluation of the significant judgments made by the engagement team and

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	<i>Threats to the Objectivity of the Engagement Quality Reviewer</i> (Ref: Para. 20(c)) A12. Threats to the engagement quality reviewer's objectivity may arise in the following circumstances: • A familiarity, self-review or self-interest threat may arise when the engagement quality reviewer was recently consulted on matters of significant complexity or judgment in the engagement. • A familiarity or self-interest threat may arise when the engagement quality reviewer is a close or immediate family member of the engagement partner or another key member of the engagement team, as well as when close personal relationships are developed through long association with such personnel. • An intimidation threat (either implicit or explicit) may arise when pressure is exerted on the engagement quality reviewer (e.g., when the engagement partner is an aggressive or dominant individual, or the engagement quality reviewer is in the chain of command of the engagement partner). • A self-review or self-interest threat may arise when the engagement quality reviewer was recently a previous member of the engagement team, in particular the engagement partner. A13. Such threats are addressed through application of relevant ethical requirements for identifying, evaluating and addressing threats. Relevant ethical requirements may identify actions individuals are required to take or consider taking, for example, the	the conclusions reached thereon that is completed on or before the date of the engagement report.”

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	IESBA Code provides requirements and guidance for identifying, evaluating and addressing intimidation threats in certain circumstances. A14. ISQC 1 (Revised) requires the firm to establish policies or procedures that address limitations on the eligibility of individuals to be appointed to be the engagement quality reviewers who previously served as the engagement partner on an engagement subject to review. The firm's policies or procedures may specify an appropriate cooling-off period before an individual who served as engagement partner may be appointed to be the engagement quality reviewer. Such periods may vary depending on the nature and circumstances of the engagements subject to engagement quality review. ISQC 1 (Revised) provides guidance that, in the case of an audit of the financial statements of a listed entity, it is unlikely that an engagement partner would be able to act as the engagement quality reviewer until two subsequent audits have been conducted.	
	<u>Proposed ISQC 2</u> Eligibility Criteria for the Engagement Quality Reviewer 21. When the engagement quality reviewer is, or becomes, aware of circumstances that impair the engagement quality reviewer's eligibility to be an engagement quality reviewer, the engagement quality reviewer shall: (Ref: Para. A21) (a) Discontinue the performance of the engagement quality review; or	

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	(b) Decline the appointment to perform the engagement quality review by notifying the firm so that the firm can appoint another individual who meets the eligibility requirements. <i>Impairment of the Engagement Quality Reviewer's Eligibility</i> (Ref: Para. 21) A21. The engagement quality reviewer's ability to perform the engagement quality review may become impaired in circumstances when an individual, after being appointed as an engagement quality reviewer, no longer meets the eligibility requirements. For example, changes in the engagement circumstances may arise during the course of the engagement and as a result, the individual may no longer have the competence to perform the engagement quality review. Paragraph 43(e)(ii)(c) of ISQC 1 (Revised) requires the firm to establish policies or procedures for the replacement of the engagement quality reviewer when the reviewer's ability to perform the engagement quality review is impaired.	
Note: The reviewer may use assistants in performing the engagement quality review. Personnel assisting the engagement quality reviewer also must be independent, perform the assigned procedures with integrity, and maintain objectivity in performing the review.	<u>Proposed ISQC 2</u> 22. Individuals who assist the engagement quality reviewer, when applicable, in performing the engagement quality review shall: (Ref: Para. A22–A23) (a) Not be members of the engagement team; (b) Have the competence and capabilities to perform the duties assigned to them; and	

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	(c) Comply with relevant ethical requirements and, if applicable, the requirements of law and regulation that are relevant to the eligibility of the engagement quality reviewer. <i>Circumstances when the Engagement Quality Reviewer is Assisted by Other Individuals</i> (Ref: Para. 22) A22. In certain circumstances, it may be appropriate for the engagement quality reviewer to be assisted by an individual, either internal or external, with the relevant expertise. For example, highly specialized knowledge, skills or expertise may be useful for understanding and evaluating judgments associated with certain transactions undertaken by the entity. A23. ISQC 1 (Revised)⁴ requires the firm to establish policies or procedures that address the appointment of engagement quality reviewers to perform engagement quality reviews, including the criteria for eligibility to perform, or participate as an assistant, in the engagement quality review that fulfill the requirements of this ISQC. When the engagement quality reviewer is assisted by other individuals in performing the engagement quality review, the engagement quality reviewer remains responsible for the performance of the engagement quality review under this ISQC. In fulfilling that responsibility, the engagement quality reviewer may direct, supervise or review the work of those individuals, to determine that their work is appropriate. In some cases, the engagement quality reviewer may be assisted by external persons. In such cases, the assistants' responsibilities, including those related to compliance with relevant ethical requirements for an engagement quality reviewer, may be set out in the engagement contract for the assistance.	
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	<u>Proposed ISQC 1 (Revised)</u> 43. In designing and implementing responses to address the quality risks identified by the firm, the firm shall include the following responses that relate to engagement performance: ... (e) Establishing policies or procedures addressing engagement quality reviews regarding: ... (ii) The appointment of engagement quality reviewers to perform engagement quality reviews, including: ... b. The criteria for eligibility to perform, or participate as an assistant in, the engagement quality review that fulfill the requirements in ISQC 2,⁵ including limitations on the eligibility of individuals to be engagement quality reviewers who previously served as engagement partner on the engagement subject to the review; and (Ref: Para. A105–A106C)	
	<u>Proposed ISQC 1 (Revised)</u> A105. ISQC 2⁶ includes criteria on the eligibility of the engagement quality reviewer. When an external person is to be appointed to perform the engagement	

⁴ ISQC 1, paragraph 43(e)(ii)(b)

⁵ Proposed ISQC 2, paragraphs 20 and 22

⁶ Proposed ISQC 2, paragraphs 19–21

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	quality review, making relevant inquiries about the external person before making the appointment may assist the firm in obtaining the necessary information about whether the person meets the eligibility criteria to be an engagement quality reviewer. An external person may be a partner or an employee of: • A firm within the firm's network, which is subject to the requirements for networks or services in accordance with paragraphs 60–65 of ISQC 1 (Revised); • A service provider, which is subject to the requirements for service providers in paragraphs 66–67 of ISQC 1 (Revised). For example, a service provider may be: - o A firm outside of the firm's network; - o A professional accountancy body whose members may perform audits or reviews of historical financial information, or other assurance or related services engagements; or - o An organization that provides relevant quality management. A105A. In some cases, such as sole practitioners, small firms, or network firms, suitably qualified external persons may be contracted to perform the engagement quality review. When the firm contracts suitably qualified external persons, the requirements in paragraph 43(e)(ii)(b) apply.	
.07 To maintain objectivity, the engagement quality reviewer and others who assist the reviewer should not make decisions on behalf of the	<u>Proposed ISQC 2</u>	

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engagement team or assume any of the responsibilities of the engagement team.	20. The firm's policies or procedures addressing the eligibility of the engagement quality reviewer established in accordance with ISQC 1 (Revised) shall require the firm to evaluate whether the individual to be appointed as the engagement quality reviewer is eligible for that appointment by determining that the individual: (Ref: Para. A6) ... (c) Is not subject to threats to objectivity related to the engagement or the engagement team that are not at, or that have not been reduced to, an acceptable level and complies with the firm's policies or procedures that address the engagement quality reviewer's objectivity (including, when applicable, limitations on the eligibility of individuals to be appointed as engagement quality reviewers who previously served as the engagement partner on an engagement subject to the review); and (Ref: Para. A12–A16) A15. In performing the engagement quality review, the engagement quality reviewer may not make decisions for the engagement team, as such actions may create a threat to the objectivity of the engagement quality reviewer. Accordingly, ISQC 1 (Revised) requires the firm to establish policies or procedures that address circumstances when the nature and extent of engagement team discussions with the engagement quality reviewer about a significant judgment give rise to a threat to the objectivity of the engagement quality reviewer.	
	<u>Proposed ISQC 2</u> <i>Relevant Ethical Requirements</i> (Ref: Para. 20(d)(i))	

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	A17. Relevant ethical requirements, as defined in this ISQC, are ethical requirements to which the engagement quality reviewer is subject. ISQC 1 (Revised) requires the firm, its personnel and others subject to relevant ethical requirements to fulfill their responsibilities in relation to the relevant ethical requirements, including independence requirements. Relevant ethical requirements ordinarily establish the principles of professional ethics. For example, the IESBA Code sets out the fundamental principles that establish the standard of behavior expected of a professional accountant, which comprise integrity, objectivity, professional competence and due care, confidentiality, and professional behavior. The IESBA Code also provides a conceptual framework that professional accountants are required to apply to identify, evaluate and address threats to compliance with the fundamental principles. It also addresses specific topics relevant to complying with the fundamental principles and includes requirements for independence when performing audits, reviews and other assurance engagements. A18. Relevant ethical requirements may contain provisions addressing the long association of the engagement quality reviewer with the engagement. For example, the IESBA Code addresses threats that may arise from long association in the role of engagement quality reviewer in audits of financial statements of public interest entities in the context of: • The audit client and its operations; • The audit client's senior management; or • The financial statements on which the firm will express an opinion or the financial information	

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	which forms the basis of the financial statements. A19. In addition, the IESBA Code also include prohibitions, for audits of public interest entities, on individuals acting in any of the following roles, or combination of such roles, for a period of more than seven cumulative years: • The engagement partner; • The individual appointed as the engagement quality reviewer; or • Any key audit partner role.⁷	
	<u>Proposed ISQC 2</u> <i>Circumstances when the Engagement Quality Reviewer is Assisted by Other Individuals</i> (Ref: Para. 22) A22. In certain circumstances, it may be appropriate for the engagement quality reviewer to be assisted by an individual, either internal or external, with the relevant expertise. For example, highly specialized knowledge, skills or expertise may be useful for understanding and evaluating judgments associated with certain transactions undertaken by the entity. A23. ISQC 1 (Revised)⁸ requires the firm to establish policies or procedures that address the appointment of engagement quality reviewers to perform engagement quality reviews, including the criteria for eligibility to perform, or participate as an assistant, in the engagement quality review that fulfill the requirements of this ISQC. When the engagement	

⁷ See, for example, R540.5-.9 of the IESBA Code.

⁸ ISQC 1, paragraph 43(e)(ii)(b)

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	quality reviewer is assisted by other individuals in performing the engagement quality review, the engagement quality reviewer remains responsible for the performance of the engagement quality review under this ISQC. In fulfilling that responsibility, the engagement quality reviewer may direct, supervise or review the work of those individuals, to determine that their work is appropriate. In some cases, the engagement quality reviewer may be assisted by external persons. In such cases, the assistants' responsibilities, including those related to compliance with relevant ethical requirements for an engagement quality reviewer, may be set out in the engagement contract for the assistance.	
The engagement partner remains responsible for the engagement and its performance, notwithstanding the involvement of the engagement quality reviewer and others who assist the reviewer. [Continuation of paragraph .07]	<u>Proposed ISQC 2</u> 24. The procedures the engagement quality reviewer shall perform include: ... (e) For audits of financial statements, reviewing whether the engagement partner has taken overall responsibility for managing and achieving quality on the audit engagement. (Ref: Para. A30)	The engagement partner's overall responsibility for the audit and its performance is addressed in proposed ISA 220 (Revised).

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.08 The person who served as the engagement partner during either of the two audits preceding the audit subject to the engagement quality review may not be the engagement quality reviewer. Registered firms that qualify for the exemption under Rule 2-01(c)(6)(ii) of Regulation S-X, 17 C.F.R. § 210.2-01(c)(6)(ii), are exempt from the requirement in this paragraph.	<u>Proposed ISQC 2</u> 20. The firm's policies or procedures addressing the eligibility of the engagement quality reviewer established in accordance with ISQC 1 (Revised) shall require the firm to evaluate whether the individual to be appointed as the engagement quality reviewer is eligible for that appointment by determining that the individual: (Ref: Para. A6) ... (c) Is not subject to threats to objectivity related to the engagement or the engagement team that are not at, or that have not been reduced to, an acceptable level and complies with the firm's policies or procedures that address the engagement quality reviewer's objectivity (including, when applicable, limitations on the eligibility of individuals to be appointed as engagement quality reviewers who previously served as the engagement partner on an engagement subject to the review); and (Ref: Para. A12–A16) A14. ISQC 1 (Revised) requires the firm to establish policies or procedures that address limitations on the eligibility of individuals to be appointed to be the engagement quality reviewers who previously served as the engagement partner on an engagement subject to review. The firm's policies or procedures may specify an appropriate cooling-off period before an individual who served as engagement partner may be appointed to be the engagement quality reviewer. Such periods may vary depending on the nature and circumstances of the engagements subject to engagement quality review. ISQC 1 (Revised) provides guidance that, in	See also proposed ISQC 1 (Revised), para. 43(e)(ii)(b), immediately below.

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	the case of an audit of the financial statements of a listed entity, it is unlikely that an engagement partner would be able to act as the engagement quality reviewer until two subsequent audits have been conducted.	
	<u>Proposed ISQC 1 (Revised)</u> 43. In designing and implementing responses to address the quality risks identified by the firm, the firm shall include the following responses that relate to engagement performance: ... (e) Establishing policies or procedures addressing engagement quality reviews regarding: ... (ii) The appointment of engagement quality reviewers to perform engagement quality reviews, including: ... b. The criteria for eligibility to perform, or participate as an assistant in, the engagement quality review that fulfill the requirements in ISQC 2,⁹ including limitations on the eligibility of individuals to be engagement quality reviewers who previously served as engagement partner on the engagement subject to the review; and (Ref: Para. A105–A106C) ...	

⁹ Proposed ISQC 2, paragraphs 20 and 22

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	<u>Proposed ISQC 1 (Revised)</u> A105.ISQC 2¹⁰ includes criteria on the eligibility of the engagement quality reviewer. When an external person is to be appointed to perform the engagement quality review, making relevant inquiries about the external person before making the appointment may assist the firm in obtaining the necessary information about whether the person meets the eligibility criteria to be an engagement quality reviewer. An external person may be a partner or an employee of: • A firm within the firm's network, which is subject to the requirements for networks or services in accordance with paragraphs 60–65 of ISQC 1 (Revised); • A service provider, which is subject to the requirements for service providers in paragraphs 66–67 of ISQC 1 (Revised). For example, a service provider may be: - o A firm outside of the firm's network; - o A professional accountancy body whose members may perform audits or reviews of historical financial information, or other assurance or related services engagements; or - o An organization that provides relevant quality management. A105A.In some cases, such as sole practitioners, small firms, or network firms, suitably qualified external persons may be contracted to perform the engagement quality review. When the firm contracts	

¹⁰ Proposed ISQC 2, paragraphs 19–21

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	suitably qualified external persons, the requirements in paragraph 43(e)(ii)(b) apply.	
Engagement Quality Review Process	Performance of the Engagement Quality Review	
.09 In an audit engagement, the engagement quality reviewer should evaluate the significant judgments made by the engagement team and the related conclusions reached in forming the overall conclusion on the engagement and in preparing the engagement report. To evaluate such judgments and conclusions, the engagement quality reviewer should, to the extent necessary to satisfy the requirements of paragraphs .10 and .11: (1) hold discussions with the engagement partner and other members of the engagement team, and (2) review documentation.	<u>Proposed ISQC 2</u> 23. The engagement quality reviewer shall perform procedures at appropriate points in time during the engagement. The nature, timing and extent of the procedures shall provide an appropriate basis for an objective evaluation of the significant judgments made by the engagement team and the conclusions reached thereon. (Ref: Para. A24–A29) 24. The procedures the engagement quality reviewer shall perform include: (a) Reading and understanding relevant information: (i) Obtained from the engagement team about the nature and circumstances of the engagement; (ii) Included, or referred to, in the practitioner's report, including as applicable, the subject matter information; (iii) Provided by the firm about the results of its monitoring and remediation activities, in particular deficiencies that may relate to, or affect, the significant judgments made, or that ought to have been made, by the engagement team on the engagement subject to the engagement quality review;	Proposed ISQC 2 applies also to engagements other than audits or reviews of financial statements.

PCAOB Auditing Standard (AS) 1220 ¹	Equivalent Paragraphs from Proposed ISQC 2 or Proposed ISQC 1 (Revised)	Commentary on Selected Comparisons
	(b) Discussing significant matters with the engagement partner and, if applicable, other members of the engagement team; (c) Based on the information obtained in (a) and (b), identifying the significant judgments made, or that ought to have been made, by the engagement team, including those related to: (Ref: Para. A27) (i) The overall strategy and plan for performing the engagement; and (ii) The performance of the engagement. (d) Reviewing selected engagement documentation of the significant judgments made, including significant judgments made in relation to significant matters, by the engagement team and the conclusions reached thereon and evaluating: (Ref: Para. A28–A29) (i) The engagement team's basis for making the significant judgments, including when applicable, the appropriate exercise of professional skepticism; (ii) Whether consultation has taken place on matters involving differences of opinion or other difficult or contentious matters and the conclusions arising from those consultations; and (iii) Whether the engagement documentation supports the conclusions reached;	

PCAOB Auditing Standard (AS) 1220 ¹	Equivalent Paragraphs from Proposed ISQC 2 or Proposed ISQC 1 (Revised)	Commentary on Selected Comparisons
	(e) For audits of financial statements, reviewing whether the engagement partner has taken overall responsibility for managing and achieving quality on the audit engagement; and (Ref: Para. A30) (f) Reviewing the final draft of the engagement report, and when applicable, the final draft of the subject matter information.	
	<u>Proposed ISQC 2</u> A24. ISQC 1 (Revised) requires the firm to establish policies or procedures that address the responsibilities of the engagement quality reviewer in performing the engagement quality review. Such policies or procedures may specify the nature, timing and extent of the procedures performed by the engagement quality reviewer to demonstrate compliance with this ISQC. The firm's policies or procedures may also emphasize the importance of the engagement quality reviewer exercising professional judgment in performing the review. The procedures performed may include review, inspection, inquiry or observation.	
	<u>Proposed ISQC 2</u> A25. The timing of the procedures performed by the engagement quality reviewer may depend on the nature and circumstances of the engagement, including the nature of the matters subject to the review. Timely review of the engagement documentation by the engagement quality reviewer at appropriate points in time throughout all stages (e.g., planning, risk assessment, performance, completion, reporting) of the engagement allows	

PCAOB Auditing Standard (AS) 1220 ¹	Equivalent Paragraphs from Proposed ISQC 2 or Proposed ISQC 1 (Revised)	Commentary on Selected Comparisons
	significant matters to be promptly resolved to the engagement quality reviewer's satisfaction, on or before the date of the engagement report, and may support the engagement team in its application of professional judgment and its exercise of professional skepticism, when applicable, in performing the engagement. For example, the engagement quality reviewer may perform procedures in relation to the overall strategy and plan for performing the engagement at the completion of the planning phase. In other circumstances, it may be appropriate for the engagement quality reviewer to perform the procedures at the end of the engagement (e.g., when the engagement is not complex and is completed within a short period of time).	
	<u>Proposed ISQC 2</u> A26. The extent of the engagement quality reviewer's procedures may depend on, among other matters: • The firm's policies or procedures in response to its quality risk assessments, which may indicate new or greater quality risks in an industry or in relation to certain types of transactions (e.g., those that are complex) in an engagement with such transactions. • Deficiencies identified in the firm's monitoring and remediation process, which may indicate areas of greater quality risk in the engagement that are still present and that may require more extensive review by the engagement quality reviewer. • The complexity of the engagement.	

PCAOB Auditing Standard (AS) 1220 ¹	Equivalent Paragraphs from Proposed ISQC 2 or Proposed ISQC 1 (Revised)	Commentary on Selected Comparisons
	• Whether the entity is a listed entity. • Other information relevant to the engagement, such as the results of inspections undertaken by an external oversight authority in a prior period, or concerns raised about the commitment to quality of the firm or its personnel. • The firm's engagement continuance process, which may indicate new risks to achieving engagement quality. • Whether members of the engagement team have cooperated with the engagement quality reviewer. The firm's policies or procedures may address the actions the engagement quality reviewer takes in circumstances when the engagement team has not cooperated with the engagement quality reviewer, for example, more extensive review or referring the matter to an appropriate individual in the firm. • For assurance engagements, the engagement team's consideration of, and responses to, areas of risks of material misstatement in the engagement.	
.10 In an audit, the engagement quality reviewer should: a. Evaluate the significant judgments that relate to engagement planning, including	<u>Proposed ISQC 2</u> Performance of the Engagement Quality Review 23. The engagement quality reviewer shall perform procedures at appropriate points in time during the engagement. The nature, timing and extent of the procedures shall provide an appropriate basis for an objective evaluation of the significant judgments	See also proposed ISQC 2, paras. A27 and A29 immediately below.

PCAOB Auditing Standard (AS) 1220 ¹	Equivalent Paragraphs from Proposed ISQC 2 or Proposed ISQC 1 (Revised)	Commentary on Selected Comparisons
	made by the engagement team and the conclusions reached thereon. (Ref: Para. A24–A29)	
- The consideration of the firm's recent engagement experience with the company and risks identified in connection with the firm's client acceptance and retention process, - The consideration of the company's business, recent significant activities, and related financial reporting issues and risks, and - The judgments made about materiality and the effect of those judgments on the engagement strategy.	<u>Proposed ISQC 2</u> 24. The procedures the engagement quality reviewer shall perform include: (a) Reading and understanding relevant information: (i) Obtained from the engagement team about the nature and circumstances of the engagement; (ii) Included, or referred to, in the practitioner's report, including as applicable, the subject matter information; (iii) Provided by the firm about the results of its monitoring and remediation activities, in particular deficiencies that may relate to, or affect, the significant judgments made, or that ought to have been made, by the engagement team on the engagement subject to the engagement quality review; (b) Discussing significant matters with the engagement partner and, if applicable, other members of the engagement team; (c) Based on the information obtained in (a) and (b), identifying the significant judgments made, or that ought to have been made, by the engagement team, including those related to: (Ref: Para. A27)	

PCAOB Auditing Standard (AS) 1220 ¹	Equivalent Paragraphs from Proposed ISQC 2 or Proposed ISQC 1 (Revised)	Commentary on Selected Comparisons
	(i) The overall strategy and plan for performing the engagement; and (ii) The performance of the engagement. (d) Reviewing selected engagement documentation of the significant judgments made, including significant judgments made in relation to significant matters, by the engagement team and the conclusions reached thereon and evaluating: (Ref: Para. A28–A29) (i) The engagement team's basis for making the significant judgments, including when applicable, the appropriate exercise of professional skepticism; (ii) Whether consultation has taken place on matters involving differences of opinion or other difficult or contentious matters and the conclusions arising from those consultations; and (iii) Whether the engagement documentation supports the conclusions reached; (e) For audits of financial statements, reviewing whether the engagement partner has taken overall responsibility for managing and achieving quality on the audit engagement; and (Ref: Para. A30) (f) Reviewing the final draft of the engagement report, and when applicable, the final draft of the subject matter information.	

PCAOB Auditing Standard (AS) 1220 ¹	Equivalent Paragraphs from Proposed ISQC 2 or Proposed ISQC 1 (Revised)	Commentary on Selected Comparisons
b. Evaluate the engagement team's assessment of, and audit responses to - Significant risks identified by the engagement team, including fraud risks, and - Other significant risks identified by the engagement quality reviewer through performance of the procedures required by this standard.	<u>Proposed ISQC 2</u> A27. Significant judgments of the engagement team evaluated by the engagement quality reviewer relate to significant matters in an engagement. Judging the significance of a matter requires an objective analysis of the facts and circumstances. Examples of significant matters include: • Matters that give rise to significant risks (as defined in ISA 315 (Revised)).¹¹ • Results of audit procedures indicating (a) that the financial statements could be materially misstated, or (b) a need to revise the auditor's previous assessment of the risks of material misstatement and the auditor's responses to those risks. • Circumstances that cause the auditor significant difficulty in applying necessary audit procedures. • Findings that could result in a modification to the audit opinion or the inclusion of an Emphasis of Matter paragraph in the auditor's report. A28. The scope of the engagement quality reviewer's review of engagement documentation to evaluate the engagement team's significant judgments is less extensive than the engagement partner's review and evaluation of significant judgments. A29. The engagement team's significant judgments include such judgments made throughout the	

¹¹ ISA 315 (Revised), paragraph 4(e)

PCAOB Auditing Standard (AS) 1220 ¹	Equivalent Paragraphs from Proposed ISQC 2 or Proposed ISQC 1 (Revised)	Commentary on Selected Comparisons
	planning and performance of the engagement, including, for example, those related to: • Preliminary engagement activities (e.g., the engagement team's consideration of risks identified through the acceptance and continuance process). • Composition of the engagement team (e.g., the selection of engagement team members, or the decision to involve an expert, including an external expert). • In an assurance engagement performed in accordance with ISAE 3000 (Revised),¹² the engagement team's determination of whether the criteria to be applied in the preparation of the subject matter information are suitable for the engagement. • Planning the engagement (e.g., designing the procedures to be performed, including, as applicable, determining materiality, performing risk assessments and designing responses, including planned responses to significant risks, or determining the group audit strategy). ... [Bullet addressed below] ... [Bullet addressed below] ... [Bullet addressed below]	

¹² ISAE 3000, *Assurance Engagements Other Than Audits or Reviews of Historical Financial Information*

PCAOB Auditing Standard (AS) 1220 ¹	Equivalent Paragraphs from Proposed ISQC 2 or Proposed ISQC 1 (Revised)	Commentary on Selected Comparisons
c. Evaluate the significant judgments made about (1) the materiality and disposition of corrected and uncorrected identified misstatements and (2) the severity and disposition of identified control deficiencies.	<u>Proposed ISQC2</u> A29. The engagement team's significant judgments include such judgments made throughout the planning and performance of the engagement, including, for example, those related to: ... • The conclusions reached by the engagement team, including for example: - o How matters affecting the overall strategy and plan for performing the engagement have been addressed (e.g., the significance and disposition of corrected and uncorrected misstatements identified during the engagement); - o Whether appropriate revisions were made, where applicable, to the identification and assessment of the risks of material misstatement and the responses to those risks; and - o Whether there is information indicating that the financial statements or other subject matter information could be materially misstated, or other findings or circumstances that may result in a modification to the opinion or conclusion or that are to be included in the engagement report.	

PCAOB Auditing Standard (AS) 1220 ¹	Equivalent Paragraphs from Proposed ISQC 2 or Proposed ISQC 1 (Revised)	Commentary on Selected Comparisons
	<u>Proposed ISQC 2</u> 20. The firm's policies or procedures addressing the eligibility of the engagement quality reviewer established in accordance with ISQC 1 (Revised) shall require the firm to evaluate whether the individual to be appointed as the engagement quality reviewer is eligible for that appointment by determining that the individual: (Ref: Para. A6) ... (d) Complies with: (i) Relevant ethical requirements; and (Ref: Para. A17–A19)	

d. Review the engagement team's evaluation of the firm's independence in relation to the engagement.	<u>Proposed ISQC 2</u> Public Sector Considerations A16. In the public sector, an auditor (for example, an Auditor General, or other suitably qualified person appointed on behalf of the Auditor General) may act in a role equivalent to that of engagement partner with overall responsibility for public sector audits. In such circumstances, when applicable, the selection of the engagement quality reviewer may include consideration of the need for independence and the ability of the engagement quality reviewer to provide an objective evaluation. <i>Relevant Ethical Requirements</i> (Ref: Para. 20(d)(i)) A17. Relevant ethical requirements, as defined in this ISQC, are ethical requirements to which the engagement quality reviewer is subject. ISQC 1 (Revised) requires the firm, its personnel and others subject to relevant ethical requirements to fulfill their responsibilities in relation to the relevant ethical requirements, including independence requirements. Relevant ethical requirements ordinarily establish the principles of professional ethics. For example, the IESBA Code sets out the fundamental principles that establish the standard of behavior expected of a professional accountant, which comprise integrity, objectivity, professional competence and due care, confidentiality, and professional behavior. The IESBA Code also provides a conceptual framework that professional accountants are required to apply to identify, evaluate and address threats to compliance with the fundamental principles. It also addresses specific topics relevant to complying with the fundamental principles and includes requirements for independence when performing audits, reviews and other assurance engagements.	
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PCAOB Auditing Standard (AS) 1220 ¹	Equivalent Paragraphs from Proposed ISQC 2 or Proposed ISQC 1 (Revised)	Commentary on Selected Comparisons
e. Review the engagement completion document⁴ and confirm with the engagement partner that there are no significant unresolved matters. ⁴ Paragraph .13 of AS 1215, <i>Audit Documentation</i>, requires the auditor to identify all significant findings or issues in an engagement completion document.	<u>Proposed ISQC 2</u> 25. The engagement quality reviewer shall evaluate whether, on or before the date of the engagement report: (a) The requirements of this ISQC have been fulfilled, taking into account the firm's policies or procedures that address the requirements in this ISQC, and the objective of this ISQC has been achieved; and (b) There are any unresolved matters of which the engagement quality reviewer is aware that would cause the engagement quality reviewer to believe that the significant judgments made by the engagement team made and the conclusions it reached thereon were not appropriate.	

PCAOB Auditing Standard (AS) 1220 ¹	Equivalent Paragraphs from Proposed ISQC 2 or Proposed ISQC 1 (Revised)	Commentary on Selected Comparisons
f. Review the financial statements, management's report on internal control, and the related engagement report.	<u>Proposed ISQC 2</u> 24. The procedures the engagement quality reviewer shall perform include: ... (f) Reviewing the final draft of the engagement report, and when applicable, the final draft of the subject matter information. A29. The engagement team's significant judgments include such judgments made throughout the planning and performance of the engagement, including, for example, those related to: ... • The conclusions reached by the engagement team, including for example: ... - o Whether there is information indicating that the financial statements or other subject matter information could be materially misstated, or other findings or circumstances that may result in a modification to the opinion or conclusion or that are to be included in the engagement report. • The draft engagement report, for example: - o The engagement team's draft opinion or conclusion, as applicable, including the basis for any modification thereof, and any matters or findings communicated in the report; and ...	
g. Read other information in documents containing the financial statements to be filed with the Securities and Exchange Commission ("SEC")⁵ and evaluate whether the engagement team has taken appropriate action with respect to any material inconsistencies with the financial		ISA 720, <i>The Auditor's Responsibilities Relating to Other Information</i>, sets out the auditor's responsibilities relating to other information,

PCAOB Auditing Standard (AS) 1220 ¹	Equivalent Paragraphs from Proposed ISQC 2 or Proposed ISQC 1 (Revised)	Commentary on Selected Comparisons
statements or material misstatements of fact of which the engagement quality reviewer is aware. ⁵ See paragraphs .04-.06 of AS 2710, <i>Other Information in Documents Containing Audited Financial Statements</i>; AS 4101, <i>Responsibilities Regarding Filings Under Federal Securities Statutes</i>.		whether financial or non-financial information (other than financial statements and the auditor's report thereon), included in an entity's annual report. Depending on the facts and circumstances of the engagement, this may or may not involve significant judgment.

PCAOB Auditing Standard (AS) 1220 ¹	Equivalent Paragraphs from Proposed ISQC 2 or Proposed ISQC 1 (Revised)	Commentary on Selected Comparisons
h. Based on the procedures required by this standard, evaluate whether appropriate consultations have taken place on difficult or contentious matters. Review the documentation, including conclusions, of such consultations.	<u>Proposed ISQC 2</u> 24. The procedures the engagement quality reviewer shall perform include: ... (d) Reviewing selected engagement documentation of the significant judgments made, including significant judgments made in relation to significant matters, by the engagement team and the conclusions reached thereon and evaluating: (Ref: Para. A28–A29) (i) ... (ii) Whether consultation has taken place on matters involving differences of opinion or other difficult or contentious matters and the conclusions arising from those consultations; and ...	
i. Based on the procedures required by this standard, evaluate whether appropriate matters have been communicated, or identified for communication, to the audit committee, management, and other parties, such as regulatory bodies.	<u>Proposed ISQC 2</u> A29. The engagement team's significant judgments include such judgments made throughout the planning and performance of the engagement, including, for example, those related to: ... • Performing the engagement, such as: ... - o The matters communicated with management and those charged with governance and, where applicable, other parties such as regulatory bodies.	

PCAOB Auditing Standard (AS) 1220 ¹	Equivalent Paragraphs from Proposed ISQC 2 or Proposed ISQC 1 (Revised)	Commentary on Selected Comparisons
j. Based on the procedures required by this standard, evaluate the engagement team's determination, communication, and documentation of critical audit matters in accordance with AS 3101, The Auditor's Report on an Audit of Financial Statements When the Auditor Expresses an Unqualified Opinion.	<u>Proposed ISQC 2</u> 24. The procedures the engagement quality reviewer shall perform include: ... (f) Reviewing the final draft of the engagement report, and when applicable, the final draft of the subject matter information. A29. The engagement team's significant judgments include such judgments made throughout the planning and performance of the engagement, including, for example, those related to: ... • The draft engagement report, for example: ... - o ... ; and - o When ISA 70113 applies, the auditor's determination of the key audit matters or the determination that there are no key audit matters to be communicated. In such cases, the engagement quality reviewer may review the descriptions of the key audit matters for consistency with the audit documentation in relation to significant judgments reviewed in the engagement quality review.	

¹³ ISA 701, *Communicating Key Audit Matters in the Auditor's Report*

PCAOB Auditing Standard (AS) 1220 ¹	Equivalent Paragraphs from Proposed ISQC 2 or Proposed ISQC 1 (Revised)	Commentary on Selected Comparisons
Evaluation of Engagement Documentation .11 In an audit, the engagement quality reviewer should evaluate whether the engagement documentation that he or she reviewed when performing the procedures required by paragraph .10 - a. Indicates that the engagement team responded appropriately to significant risks, and b. Supports the conclusions reached by the engagement team with respect to the matters reviewed.	<u>Proposed ISQC 2</u> 24. The procedures the engagement quality reviewer shall perform include: ... (d) Reviewing selected engagement documentation of the significant judgments made, including significant judgments made in relation to significant matters, by the engagement team and the conclusions reached thereon and evaluating: (Ref: Para. A28–A29) (i) ... (iii) Whether the engagement documentation supports the conclusions reached; ...	

Concurring Approval of Issuance .12 In an audit, the engagement quality reviewer may provide concurring approval of issuance only if, after performing with due professional care⁶ the review required by this standard, he or she is not aware of a significant engagement deficiency. Note: A <i>significant engagement deficiency</i> in an audit exists when (1) the engagement team failed to obtain sufficient appropriate evidence in accordance with the standards of the PCAOB, (2) the engagement team reached an inappropriate overall conclusion on the subject matter of the engagement, (3) the engagement report is not appropriate in the circumstances, or (4) the firm is not independent of its client. ⁶ See AS 1015, <i>Due Professional Care in the Performance of Work</i>. .13 In an audit, the firm may grant permission to the client to use the engagement report only after the engagement quality reviewer provides concurring approval of issuance.⁷ ⁷ Concurring approval of issuance by the engagement quality reviewer also is required when reissuance of an engagement report requires the auditor to update his or her procedures for subsequent events. In that case, the engagement quality reviewer should update the engagement quality review by addressing those matters related to the subsequent events procedures.	Proposed ISQC 2 25. The engagement quality reviewer shall evaluate whether, on or before the date of the engagement report: (a) The requirements of this ISQC have been fulfilled, taking into account the firm's policies or procedures that address the requirements in this ISQC, and the objective of this ISQC has been achieved; and (b) There are any unresolved matters of which the engagement quality reviewer is aware that would cause the engagement quality reviewer to believe that the significant judgments made by the engagement team made and the conclusions it reached thereon were not appropriate.	ISQC 2 does not have the concept of a concurring approval of issuance, but instead uses the requirement to not date the auditor's report until the engagement quality review is complete.
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PCAOB Auditing Standard (AS) 1220 ¹	Equivalent Paragraphs from Proposed ISQC 2 or Proposed ISQC 1 (Revised)	Commentary on Selected Comparisons
Engagement Quality Review for a Review of Interim Financial Statements		
Engagement Quality Review Process	Paragraphs AS 1220.14 - .18 address Reviews of Interim Financial Information	N/A – Proposed ISQC 2 addresses all assurance and related services engagements so reviews of interim financial statements are not separately compared.
.14 In an engagement to review interim financial information, the engagement quality reviewer should evaluate the significant judgments made by the engagement team and the related conclusions reached in forming the overall conclusion on the engagement and in preparing the engagement report, if a report is to be issued. To evaluate such judgments and conclusions, the engagement quality reviewer should, to the extent necessary to satisfy the requirements of paragraphs .15 and .16: (1) hold discussions with the engagement partner and other members of the engagement team, and (2) review documentation.		
.15 In a review of interim financial information, the engagement quality reviewer should:		

PCAOB Auditing Standard (AS) 1220 ¹	Equivalent Paragraphs from Proposed ISQC 2 or Proposed ISQC 1 (Revised)	Commentary on Selected Comparisons
a. Evaluate the significant judgments that relate to engagement planning, including the consideration of - - The firm's recent engagement experience with the company and risks identified in connection with the firm's client acceptance and retention process, - The company's business, recent significant activities, and related financial reporting issues and risks, and - The nature of identified risks of material misstatement due to fraud.		
b. Evaluate the significant judgments made about (1) the materiality and disposition of corrected and uncorrected identified misstatements and (2) any material modifications that should be made to the disclosures about changes in internal control over financial reporting.		
c. Perform the procedures described in paragraphs .10d and .10e.		

PCAOB Auditing Standard (AS) 1220 ¹	Equivalent Paragraphs from Proposed ISQC 2 or Proposed ISQC 1 (Revised)	Commentary on Selected Comparisons
d. Review the interim financial information for all periods presented and for the immediately preceding interim period, management's disclosure for the period under review, if any, about changes in internal control over financial reporting, and the related engagement report, if a report is to be issued. e. Read other information in documents containing interim financial information to be filed with the SEC⁸ and evaluate whether the engagement team has taken appropriate action with respect to material inconsistencies with the interim financial information or material misstatements of fact of which the engagement quality reviewer is aware. f. Perform the procedures in paragraphs .10h and .10i. ⁸ See AS 4105.18f; AS 4101.		
Evaluation of Engagement Documentation		
.16 In a review of interim financial information, the engagement quality reviewer should evaluate whether the engagement documentation that he or she reviewed when performing the procedures required by paragraph .15 supports the conclusions reached by the engagement team with respect to the matters reviewed.		
Concurring Approval of Issuance		
.17 In a review of interim financial information, the engagement quality reviewer may provide concurring approval of issuance only if, after performing with due professional care the review		

PCAOB Auditing Standard (AS) 1220 ¹	Equivalent Paragraphs from Proposed ISQC 2 or Proposed ISQC 1 (Revised)	Commentary on Selected Comparisons
required by this standard, he or she is not aware of a significant engagement deficiency.		
Note: A significant engagement deficiency in a review of interim financial information exists when (1) the engagement team failed to perform interim review procedures necessary in the circumstances of the engagement, (2) the engagement team reached an inappropriate overall conclusion on the subject matter of the engagement, (3) the engagement report is not appropriate in the circumstances, or (4) the firm is not independent of its client.		
.18 In a review of interim financial information, the firm may grant permission to the client to use the engagement report (or communicate an engagement conclusion to its client, if no report is issued) only after the engagement quality reviewer provides concurring approval of issuance.		
Engagement Quality Review for an Attestation Engagement Performed Pursuant to Attestation Standard No. 1, Examination Engagements Regarding Compliance Reports of Brokers and Dealers, or Attestation Standard No. 2, Review Engagements Regarding Exemption Reports of Brokers and Dealers	Paragraphs AS 1220.18A - .18C address Attestation Reports for Broker-Dealers	N/A – Proposed ISQC 2 addresses all assurance and related services engagements
.18A In an attestation engagement performed pursuant to Attestation Standard No. 1, Examination Engagements Regarding Compliance Reports of Brokers and Dealers, or Attestation Standard No. 2, Review Engagements Regarding Exemption Reports of Brokers and Dealers, the engagement quality reviewer should evaluate the significant judgments made by the		

PCAOB Auditing Standard (AS) 1220 ¹	Equivalent Paragraphs from Proposed ISQC 2 or Proposed ISQC 1 (Revised)	Commentary on Selected Comparisons
engagement team and the related conclusions reached in forming the overall conclusion on the attestation engagement and in preparing the engagement report. To evaluate such judgments and conclusions, the engagement quality reviewer should, taking into account the procedures performed in the engagement quality review of the financial statement audit, (1) hold discussions with the engagement partner and other members of the engagement team, (2) read the engagement report and the document containing management's assertions, and (3) review the engagement completion document and other relevant documentation.		
.18B In an attestation engagement performed pursuant to Attestation Standard No. 1, Examination Engagements Regarding Compliance Reports of Brokers and Dealers, or Attestation Standard No. 2, Review Engagements Regarding Exemption Reports of Brokers and Dealers, the engagement quality reviewer may provide concurring approval of issuance only if, after performing with due professional care the review required by the standard, he or she is not aware of any significant engagement deficiency. Note: A significant engagement deficiency in an attestation engagement performed pursuant to Attestation Standard No. 1, Examination Engagements Regarding Compliance Reports of Brokers and Dealers, or Attestation Standard No. 2, Review Engagements Regarding Exemption Reports of Brokers and Dealers, exists when (1) the engagement team failed to perform attestation procedures necessary in the circumstances of the engagement, (2) the engagement team reached an		

PCAOB Auditing Standard (AS) 1220 ¹	Equivalent Paragraphs from Proposed ISQC 2 or Proposed ISQC 1 (Revised)	Commentary on Selected Comparisons
inappropriate overall conclusion on the subject matter of the engagement, (3) the engagement report is not appropriate in the circumstances, or (4) the firm is not independent of its client.		
.18C In an attestation engagement performed pursuant to Attestation Standard No. 1, Examination Engagements Regarding Compliance Reports of Brokers and Dealers, or Attestation Standard No. 2, Review Engagements Regarding Exemption Reports of Brokers and Dealers, the firm may grant permission to the client to use the engagement report only after the engagement quality reviewer provides concurring approval of issuance.		
Documentation of an Engagement Quality Review	Documentation	
.19 Documentation of an engagement quality review should contain sufficient information to enable an experienced auditor, having no previous connection with the engagement, to understand the procedures performed by the engagement quality reviewer, and others who assisted the reviewer, to comply with the provisions of this standard, including information that identifies: a. The engagement quality reviewer, and others who assisted the reviewer, b. The documents reviewed by the engagement quality reviewer, and others who assisted the reviewer, c. The date the engagement quality reviewer provided concurring approval of issuance or, if no concurring approval of issuance	<u>Proposed ISQC 2</u> 26. The engagement quality reviewer shall prepare documentation that is sufficient to enable an experienced practitioner, having no previous connection with the engagement, to understand the nature, timing and extent of the procedures performed by the engagement quality reviewer, including identifying the engagement documentation reviewed, and the conclusions reached in accordance with paragraph 25. The engagement quality reviewer shall document the date of completion of the engagement quality review. (Ref: Para. A31–A33)	See Application Material immediately below As noted above, ISQC 2 does not have the concept of a concurring approval of issuance. There is no specific requirement in ISQC 2 to document the identity of the engagement quality reviewer and any assistants, although it is difficult to see how an engagement quality reviewer could comply

PCAOB Auditing Standard (AS) 1220 ¹	Equivalent Paragraphs from Proposed ISQC 2 or Proposed ISQC 1 (Revised)	Commentary on Selected Comparisons
was provided, the reasons for not providing the approval.		with paragraph 26 without recording this information.
.20 Documentation of an engagement quality review should be included in the engagement documentation.	<u>Proposed ISQC 2</u> A31. The form, content and extent of the documentation of the engagement quality review may depend on factors such as: • The nature and complexity of the engagement; • The nature of the entity; • The nature and complexity of the matters subject to the engagement quality review; and • The extent of the documentation reviewed. A32. ISQC 1 (Revised)¹⁴ requires the firm to establish policies or procedures that address the responsibilities of the engagement quality reviewer in documenting the engagement quality review. In some circumstances, the firm's policies or procedures may prescribe matters to be documented by the engagement quality reviewer in addition to the documentation requirements in this ISQC. A33. The engagement quality review may be documented in a number of ways. For example, the engagement quality reviewer may document the review of engagement documentation electronically in the IT application for the documentation of the engagement and may note issues raised in order to document the results of the review procedures and significant matters raised during the review.	See requirement immediately above.

¹⁴ Proposed ISQC 1 (Revised), paragraph 43(e)(iii)

PCAOB Auditing Standard (AS) 1220 ¹	Equivalent Paragraphs from Proposed ISQC 2 or Proposed ISQC 1 (Revised)	Commentary on Selected Comparisons
	Alternatively, the engagement quality reviewer may document the review through means of a memorandum. The engagement quality reviewer's procedures may also be documented as part of other engagement documentation, for example, minutes of the engagement team's discussions where the engagement quality reviewer was present.	
.21 The requirements related to retention of and subsequent changes to audit documentation in AS 1215 apply with respect to the documentation of the engagement quality review.		ISA 230, <i>Audit Documentation</i> , addresses retention and modification of engagement documentation